

than 65 years. Over the years, the company has started offering a diverse set of participating insurance products (policies where the profit of the company is shared with policyholders) like money back plans and guaranteed plans, and non-participating products like unit-linked insurance products and term insurance.

Currently, its product mix is inclined more towards participating policies, but the company is now focussing on diversifying its portfolio. "LIC is the most visible insurance brand and its strength is its wide distribution network spread across India. LIC's digital initiatives and improvement in product mix are also gradually showing results," says Piyush Nagda, Director of Private Wealth at Monarch Network Capital Ltd.

92 | The insurer's growth journey is reflected in its increasing market share in the first six months of the

(PAT) of ₹4,124.70 crore in FY22 against ₹2,974.1 crore in FY21. The first-year premium collected in FY22 stood at ₹1.99 lakh crore, a jump of 7.92 per cent over FY21. During FY22, the insurer settled 27.22 million claims worth ₹2.38 lakh crore, which works out to 91.09 per cent maturity claims and 98.50 per cent death claims. The insurer registered total life fund (an amount of money from which life insurance payments and investments are made) of ₹37.35 lakh crore and total assets of ₹42.30 lakh crore in FY22.

LIC REPORTED 11x jump in net profit to ₹16,635 crore for H1FY23 compared with ₹1,437 crore a year ago. LIC said that the massive surge was due to the transfer of an amount of ₹14,271.80 crore (net of tax), due to accretions on the available solvency margin, from non-par-

ticipation was at ₹4,836 crore. Its VNB margin was 14.6 per cent at the end of September 2022 (compared with 9.3 per cent a year ago).

For a life insurance firm, a key metric is the VNB margin, as it indicates the profit margin of the company. It is arrived at by dividing the value of new business by the year's annualised premium and it is similar to the profit margin of any other business. A high VNB margin indicates the higher profitability of a company's business.

One of the reasons for LIC's low VNB margin is the high share of participating plans in the product mix where operating costs are very high. "As the company focusses on generating revenue from high VNB-margin products, it will perform well over the long term," says Manoj Dalmia, Founder and Director of Proficient Equities Ltd.

"The results signify our consistent move towards diversifying our product mix aimed at increasing the non par business share," says LIC Chairman M.R. Kumar. "In the individual business, on an APE [annual premium equivalent] basis, the share of non par business has increased to 8.99 per cent for the half year ended September 30, 2022, against 7.12 per cent for the full year ended March 31, 2022... The same philosophy of diversification is visible in our distribution channel mix where the share of new business premium being sourced from banca [bancassurance] and alternate channels has also increased," he adds. APE is the sum of the regular annualised premium plus 10 per cent of single premium.

LIC's issue price was fixed at ₹949, but its stock has since dropped by more than 31 per cent. Among the reasons for the selling pressure on LIC's stocks is its product mix being dominated by the traditional savings business with low margins and the low share

LIC'S OVERALL MARKET SHARE IN FIRST-YEAR PREMIUM INCOME INCREASED TO 68.25 PER CENT AT THE END OF SEPTEMBER 2022 FROM 63.25 PER CENT IN FY22

current financial year (April-September). According to data from the Insurance Regulatory and Development Authority of India (Irdai), the overall market share in first-year premium income of LIC increased to 68.25 per cent at the end of September 2022 from 63.25 per cent in FY22. It continues to maintain its lead in the life insurance space.

LIC's firm footing in the insurance market is reflected in its results. It registered profit after tax

participating (non par) to shareholders' accounts. Available solvency margin—the difference between the value of assets and that of insurance liabilities—is a measure of how solvent an insurer is.

The insurer recorded a net profit of ₹682.90 crore in the June quarter. Its first-year premium stood at ₹9,124.7 crore for Q2FY23 compared with ₹8,198.30 crore a year ago. Gross value of new business (VNB) for the six-month period ended Sep-